

Meta Platforms, Inc.

META NASDAQ

Buy

\$590.83 ▼ 1.38%

12M Price Target
\$720.00

52-Week Range
\$520.26 – \$796.25

Market Cap
\$1.51T

META: AI Capex Fears Overshadow Strong Ad Engine

WHAT HAPPENED

- META dropped 1.4% on light volume (only 1.6M shares vs. usual 12M+) — that thin volume tells me this isn't panic selling, it's just drift lower on the "AI dilution" narrative. The 24/7 Wall St. piece calling META "more dangerous than Alphabet" on AI spending is the culprit — investors are getting nervous that Zuck's capex plans (rumored \$100B+ next year) will crush free cash flow.
- The GuruFocus headline about a "\$1.4 trillion legal test" is worth flagging — this likely refers to the ongoing FTC antitrust case around Instagram/WhatsApp divestiture, which resurfaces every few months and rarely moves the stock long-term, but adds background noise.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- AI capex spirals out of control — if 2027 spending jumps to \$150B+ without clear revenue attribution, the stock gets re-rated lower like it did in late 2022 (remember the metaverse panic?)
- Ad market softens on tariff-driven consumer weakness — if the new China tariffs bite retail spending, ad budgets get cut and META's core engine slows
- The non-obvious one: TikTok. If the Trump administration lets ByteDance keep operating under some workaround deal, Reels loses its biggest tailwind — Instagram's growth story depends partly on TikTok being handicapped

IN THE NEWS

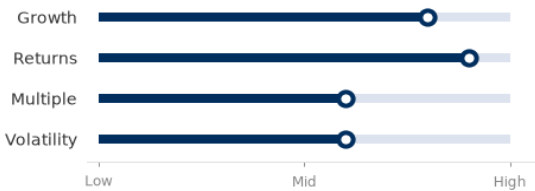
- CoreWeave jumps 10% following Q2 earnings** Yahoo Finance Video · 2026-08-11 21:05
- AI-Race-Based Dilution: Why Meta Is More Dangerous Than Alphabet** 24/7 Wall St. · 2026-08-12 13:32
- The Market Shaved 10% Off Meta Over a Month: One Analyst Targets 87% Returns Over The Next...** 24/7 Wall St. · 2026-08-12 13:11
- Meta Faces a Potential \$1.4 Trillion Legal Test** GuruFocus.com · 2026-08-12 13:10
- Why Broadcom Is The Low-Beta AI Play To Buy** 24/7 Wall St. · 2026-08-12 12:19

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$590.83
12M Price Target	\$720.00
Upside / (Downside)	+21.9%
Market Cap	\$1.51T
FY2026E Revenue	\$205M
FY2027E Revenue	\$238M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$640.00	\$605.00	\$555.00
6 Months	\$720.00	\$650.00	\$540.00
1 Year	\$820.00	\$720.00	\$500.00
2 Years	\$950.00	\$800.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.77% today, +1.87% this week) is leading — driven by Nvidia's CEO calming AI debt fears and CoreWeave's blowout earnings. This tells me the market still wants AI exposure, just not the ones *spending* the money.

COOLING OFF: Financials and Energy are drifting — rate cut expectations are pulling money away from banks, and energy is digesting a big 5-day run.

ROTATION WATCH: Money is rotating from AI *spenders* (META, GOOGL) into AI *sellers* (NVDA, AVGO, CoreWeave). This is a classic mid-cycle rotation that usually reverses when spenders show ROI — typically 2-3 quarters out.

RELATED PLAY: If you want exposure to the AI buildout without META's capex risk, Broadcom (AVGO) is the "picks and shovels" play — they sell custom AI chips to META itself.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): CEO Huang publicly eased debt concerns around AI buildout — that's a direct positive for the ecosystem, but ironically hurts META because it validates that hyperscalers are borrowing heavily
- CRWV (CoreWeave): Popped 10% on Q2 earnings — proves demand for AI compute is real, which supports META's spending thesis long-term

META CONTEXT: META is lagging its mega-cap peers right now, sitting at just 26% of its 52-week range while tech broadly rallies. That's actually a setup, not a warning — when a high-quality name lags its sector on sentiment (not fundamentals), it often catches up violently on the next earnings beat.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like it here but I'm not pounding the table until we get more clarity on 2027 capex guidance.

POSITION SIZE: 4-6% of a diversified portfolio — big enough to matter, small enough that a bad quarter won't ruin your year.

ENTRY POINTS: Add on pullbacks to \$560-585; if we get a full flush to \$540 on macro fear, back up the truck.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q4 earnings (early 2027) where they'll guide next year's capex and hopefully show AI-driven ad revenue lift.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, or Zuckerberg announces another "year of efficiency" reversal into unchecked spending, I'm out.

HEDGING: Own a little Broadcom or Nvidia alongside — if the market keeps punishing spenders and rewarding sellers, at least one side of the trade works for you.